

WISDOM INVESTING — Investment principles

One — Business quality above everything else

We seek businesses with enduring competitive advantages. A company that generates strong returns on capital consistently through economic cycles, competitive pressures, and management transitions is often revealing the strength of its underlying franchise. We place far greater weight on durability than on short-term performance and prefer businesses whose economics have proven resilient over long periods of time.

1. Invest based on fundamentals, using thresholds for
 - a. Growth (revenue and margins)
 - b. Return on equity /Return on capital employed
 - c. Free cash flow
 - d. Sector specific criteria
2. Target minimum price CAGR > 25%, along with value threshold (X Rs in Y Yrs)

Two — Management with skin in the game

We favour founder-led and owner-operated businesses where management's interests are closely aligned with those of shareholders. We prefer operators over administrators. What management does with capital matters far more than what it says. Thoughtful, disciplined capital allocation over long periods is one of the strongest indicators of management quality.

Three — Businesses that can reinvest at attractive rates

A great business is not defined solely by the returns it earns today, but by its ability to deploy capital profitably for many years to come. We look for companies with long reinvestment runways, where growth can be funded internally and incremental capital continues to earn attractive returns. The combination of strong economics and a long runway is what creates exceptional compounding.

Four — Paying for growth when the theme is structural

We are willing to pay premium valuations when growth is supported by structural rather than cyclical drivers. Businesses that are direct beneficiaries of long-term shifts in consumer behaviour, economic development, technology adoption, or industry transformation can justify valuations that appear demanding in the present but reasonable when viewed through a longer-term lens. We are willing to pay for durable growth but remain cautious of cyclical earnings that are mistaken for structural opportunity.

Five — Balance sheet conservatism

We prefer businesses with strong balance sheets and financial flexibility. Debt can magnify returns, but it can also magnify mistakes. We are particularly cautious of leverage in cyclical, competitive, or capital-intensive industries. Businesses that generate cash, fund their own growth, and maintain prudent financial discipline are generally better positioned to compound value over time.

What we avoid

Commodity businesses where products are largely undifferentiated and pricing power is limited. Companies with weak governance or management teams whose interests are not aligned with minority shareholders. Turnaround situations where the underlying business quality is uncertain. Businesses that depend on continual external capital to sustain growth. Complex structures, related-party transactions, or situations where we cannot clearly understand how value is being created.

How we think about valuation

Valuation matters, but it is inseparable from quality, growth, and duration. We do not anchor to specific valuation multiples. Instead, we focus on what a business can become over time and whether today's price offers an attractive long-term return relative to that opportunity. Exceptional businesses can deserve premium valuations, while structurally challenged businesses can remain poor investments regardless of how inexpensive they appear. The price we pay should reflect the quality of the business and the durability of its growth.